

## PRAMOD CHAUDHARY

57, ENTREPRENEUR  
CHAIRMAN, PRAJ INDUSTRIES  
INITIAL INVESTMENT Rs 45 lakh  
CURRENT TURNOVER Rs 750 crore

# FUEL FOR THOUGHT

**T**he sharp spike in oil prices this year may have taken many by shock, but not Pramod Chaudhary, chairman and managing director of Praj Industries, who has spent a lifetime preparing countries for such an eventuality. As a student of IIT-Bombay, Chaudhary had closely tracked the oil shock of 1971 and how Brazil worked a way to make ethanol out of sugarcane. Considering that he belongs to the hinterland of Maharashtra and that his father worked in a sugar cooperative, anything to do with the cash crop made immense sense to him. Recalls Chaudhary: "I decided to build on that story because I realised it would be an important source of energy in future." Today, Praj takes credit for having set up the first ethanol fuel plant in the UK, Germany and Poland.

But the sojourn with biofuel technology, which began at IIT, could not immediately see the light of the day. In order to learn how different parts of an organisation work, Chaudhary worked for Bajaj Tempo (now Force Motors) and Widia India (now Kennametal). Both stints helped him a great deal when he set up his own fabrication unit in 1983. Soon after, he roped in a consultant, who would help him acquire technology that would convert molasses into alcohol.

In the initial years, the company earned nothing. It was what Chaudhary calls the gestation period, wherein they were working on technologies and their viability in India. The turning point came with alcohol beverage companies buying the company's innovation. Those were the trial and error days for Chaudhary as the Austrian technology he had imported for the fermentation of molasses did not deliver the desired results in a tropical climate. And the research and development to adapt the process called for investments. ICICI stepped in with a venture funding of Rs 45 lakh in 1987 and by 1991, Praj found it easier to explore different markets as India had opened its gates to the world. The money was

spent in setting up a state-of-the-art research and development facility. By 1989, the company was in business and the phase of trials ended as a steady stream of consumers queued up to buy technology. By the mid-'90s, the company had developed a system to produce alcohol from starch and grains. This technology was picked up by many South-east Asian countries and revenues touched a stellar Rs 50 crore.

As is the case with most companies in boom times, Praj too diversified into different areas which resulted in heavy losses as demand fell in 1997 due to the Asian crisis. Chaudhary remembers how losses of Rs 14 crore wiped out half his net worth. But Praj saw its biofuel chance in this slow-down. "We decided to get ready for technology not just for beverages but also fuel purposes," he says. From fermentation to distillation, Praj helps its consumers produce alcohol from feedstock.

Today Praj is a global company spread across five continents, offering innovative solutions to significantly add value in ethanol, bio-diesel and brewery technology and related waste water treatment systems for customers. It has designed and supplied plants and equipment for a number of industries as well.

If hydrocarbon ruled the 20th century, the 21st will be dominated by carbohydrates. With fossil fuels being finite, biofuels are the future. Praj is currently working on second generation technology for biofuels. "I want to promote non-food energy crops," says Chaudhary. Capital, he believes, is not the problem. The right idea is.

by Malini Bhupta

BY MID-'90S, PRAJ INDUSTRIES HAD DEVELOPED A TECHNOLOGY TO PRODUCE ALCOHOL FROM STARCH AND GRAINS. THIS TECHNOLOGY WAS LATER PICKED UP BY MANY SOUTH-EAST ASIAN COUNTRIES.



MANDAR DEODHAR